CHAPTER 8

CONTROLLING

CHAPTER ESSENCE AT A GLANCE:
Close the managerial loop: evaluate actual results against planned targets, calculate deviations, apply Management by Exception and Critical Point Control, and take corrective actions.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Controlling and Planning Interdependence:** Planning sets standards while controlling measures actuals against standards; planning without controlling is meaningless, and controlling without planning is blind.

• **Sequential Controlling Process:** Five steps: Setting Performance Standards, Measurement of Actual Performance, Comparing Actual with Standards, Analyzing Deviations, and Taking Corrective Action.

• **Critical Point Control (CPC):** Focusing control efforts strictly on key result areas (KRAs) where deviations endanger the entire enterprise, rather than micro-managing trivial factors.

• **Management by Exception (MBE):** Only significant deviations that exceed allowable tolerance limits are brought to the attention of top management, empowering lower staff to handle minor variations.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Performance Deviation} = \text{Actual Operational Performance} - \text{Predetermined Planned Standard}$$

Variance Diagnostic Calculation Equation

$$\text{Management by Exception} \iff \text{Only Deviations Exceeding Tolerance Limit Brought to Top Executive}$$

Executive Focus Threshold Principle

$$\text{Critical Point Control (CPC)} \iff \text{Focus Supervisory Energy on Key Result Areas (KRAs)}$$

Strategic Key Result Area Prioritization

$$\text{Managerial Dual Loop} \iff \text{Planning (Forward-looking)} \leftrightarrow \text{Controlling (Backward-looking)}$$

Planning-Controlling Interlocking Cycle

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Controlling is both backward-looking (reviewing past performance) and forward-looking (taking corrective action to prevent future errors).

• **Alert:** Under Management by Exception, an attempt to control everything results in controlling nothing; minor variations within tolerance ranges must be ignored.

• **Alert:** Quantitative standards (e.g. 100 units per hour) are easily measurable; qualitative standards (e.g. employee morale) require indirect assessment like absenteeism rates.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Controlling. State its primary purpose in management. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The process of measuring actual performance against planned standards and taking corrective actions to ensure organizational goals are accomplished. [1 Mark]

• **Primary Purpose:** To detect operational deviations early and guide operations according to predetermined plans. [1 Mark]

2. 'Planning is forward-looking while controlling is backward-looking.' Comment on this statement. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Partial Truth:** Planning looks ahead to forecast the future, while controlling looks back to review past performance against standards. [1 Mark]

• **Complete Reality:** Controlling is also forward-looking because the corrective actions taken guide future operations to achieve success. [1 Mark]

3. Explain the significance of Critical Point Control (CPC) and Management by Exception (MBE) in analyzing deviations. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Critical Point Control (CPC):** Prioritizes control on Key Result Areas (KRAs) critical to organizational survival (e.g. a 5 percent increase in labor cost is critical, while a 20 percent increase in postal stamps is minor). [1.5 Marks]

• **Management by Exception (MBE):** Focuses executive attention only on exceptional deviations exceeding defined tolerance limits, saving managerial time. [1.5 Marks]

4. State any three prominent benefits of an effective Controlling system in an enterprise. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Accomplishing Organizational Goals:** Measures progress toward target execution, identifying failures before disaster strikes. [1 Mark]

• **Judging Accuracy of Standards:** Verifies whether formulated targets were realistic in light of changing business conditions. [1 Mark]

• **Improving Employee Motivation:** Employees know beforehand what is expected of them and the standards by which they will be appraised. [1 Mark]

5. Identify the cause of deviation and suggest a corrective action for: (a) Defective machinery causing high scrap rate, (b) Obsolete technology lowering production speed, (c) Physical fatigue of workers. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Defective Machinery:** Cause: Mechanical wear and tear. Corrective Action: Repair machinery immediately or overhaul parts. [1 Mark]

• **(b) Obsolete Technology:** Cause: Technological lag. Corrective Action: Modernize manufacturing plant with automated digital machinery. [1 Mark]

• **(c) Worker Fatigue:** Cause: Lack of rest pauses. Corrective Action: Introduce scientifically planned rest intervals based on fatigue study. [1 Mark]

6. Explain why Planning and Controlling are often described as two inseparable twins of management. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Controlling Blind Without Planning:** If no standards are set by planning, a manager has nothing against which to measure actual performance. [1.5 Marks]

• **Planning Meaningless Without Controlling:** If controlling does not verify execution, plans remain mere academic exercises on paper. [1.5 Marks]

7. Explain the sequential steps in the Controlling Process from Setting Standards to Taking Corrective Action. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Step 1 (Setting Performance Standards):** Establishing criteria against which actual performance will be judged, in both quantitative and qualitative terms. **[1 Mark]**

• **Step 2 (Measurement of Actual Performance):** Measuring actual output objectively through performance reports, sample checks, and accounting audits. **[1 Mark]**

• **Step 3 (Comparing Actual with Standards):** Revealing quantitative deviations between actual achievement and targeted standards. **[1 Mark]**

• **Step 4 & 5 (Analyzing Deviations & Corrective Action):** Using Critical Point Control and Management by Exception to identify root causes and taking remedial corrective action. **[1 Mark]**